

Of course, these are all generalisations. There are people out there who make savings goals for big purchases and budget for impulse purchases. But the number of such people falls in the minority category. Easy credit, living pay cheque-to-pay cheque is a way of life for many these days. Unknowingly, many individuals land up in avoidable financial situations, wherein a significant part of their income goes into managing debt. The result: they have less money to save and invest, losing out on the opportunity for their savings to grow over time.

Suppose you have the option to take a cab to work every day for a month or take public transport but go on a nice short break at the end of it. Which one would you choose? The choice of a nice break at the end of the month is obviously what many would prefer. A quiet getaway at the end of the month is tempting. However, in real life, we tend to choose the immediate benefit of getting a cab for convenience and are most likely to let the weekend getaway, which is a good 30 days away, slip.

Often, we spend our money on less useful things rather than saving and investing it. Willpower is a scarce commodity in today's society but it can help you achieve more success, especially in personal finance. The concept of delayed gratification is a must for this. Delaying gratification is the action to resist the temptation of immediate pleasures and waiting for bigger rewards in the future. It turns out our ability to delay gratification can predict our success in life, according to several studies such as the popular 'Marshmallow' test.

Take, for instance, the case of three friends: Amar, Akbar and Anthony. They all graduated in the same year and started working at age 25. Amar started to invest Rs 5,000 a month from the day he started earning. Akbar wanted to have some fun with his newfound financial freedom and started investing Rs 5,000 every month once he got married at 30. Anthony went a bit further and started investing only when he was 35, well after he was married and had children. They all decided to invest this sum till they turned 55. Assuming their investments fetched an equal 12 per cent returns, the 5-year delays have offset the corpus each one of them accumulates when they are 55 (see *Power of Delayed Gratification*).

POWER OF DELAYED GRATIFICATION

NAME	AMOUNT INVESTED (per month)	PERIOD OF INVESTMENT (years)	ACCUMULATED SUM
Amar	Rs 5,000	30 years	Rs 1.74 crore
Akbar	Rs 5,000	25 years	Rs 93.94 lakh
Anthony	Rs 5,000	20 years	Rs 49.46 lakh

(Assuming 12% return on investments)

By delaying the investment journey by just 5 years, Akbar ends up with a corpus just under half of what Amar has built. Anthony, with his 10-year splurge, has nothing much home to write about. The lesson for all those aspiring for financial independence is to form the habit of delayed gratification when it comes to spending money. Every rupee saved and invested has the potential to help you realise your financial goals faster and also find more money when you actually need it.

While delayed gratification can help you achieve long-term goals, it is important not to overdo it. If you cut all your expenses and live extremely frugally, you might save a lot of money but you would also be miserable. After all, the goal of saving money is to live a better life, both now and later. Finding the balance between living in the moment and planning for the future is the key to a great life, similar to what independence within reasonable limits and rules means.

SETTING REALISTIC FINANCIAL GOALS

You are the best judge of your financial situation and